Case Study: Commercial Conversion Feasibility Modeling for a Midtown Manhattan Office Tower

A complete solution for complex real estate planning!

At a glance

We partnered with a client to build a comprehensive Excel proforma evaluating the full commercial conversion of a 1963-vintage Midtown Manhattan office tower. Spanning 808,640 GSF, the model analyzed the economics of repositioning a mixed-use (multifamily + office/retail) property into a pure commercial office asset. The entire financial architecture was built directly from the building's stacking plan to model tenant pipelines, lease-up schedules, and complex capital structures.

Key metrics

PROJECT SIZE
808,640 GSF
(~600,000 RSF Post-Conversion)

$183 MILLION
Total Project Cost

STABILIZED VALUE
~$606.4 Million (at 6.75% Exit Cap)

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CHALLENGES

The client needed to assess the feasibility of converting a massive mixed-use Midtown tower into a pure commercial office asset. The building presented a complex mix of 323,147 SF of in-place commercial leases alongside 597,060 SF of vacant space requiring re-leasing. Accurate modeling required reading the full stacking plan floor by floor, including 23 floors, a mezzanine, basement, and parking, and translating that into a dynamic leasing pipeline. Furthermore, the capital structure was highly complex, requiring the integration of a $26M ground lease, ~$126M in TI financing, a $17M Safehold senior loan, and an $18.3M mezzanine tranche, alongside massive TI obligations and capitalized taxes.

SOLUTIONS

We built a fully dynamic monthly and annual Excel proforma driven directly by the building's stacking plan. Each floor was modeled individually, encoding occupancy status, existing tenants, lease expirations, and new TI obligations into a unified cash flow model. We assigned a phased leasing schedule for vacant floors and integrated the four concurrent financing tranches with distinct rate structures, maturity dates, and repayment waterfalls to calculate returns over a 5-year hold period.

Stacking Plan Modeling

Capital Stack Structuring

Waterfall & Return Modeling

BENEFITS

1

Stacking Plan-to-Model Translation

Built a live, floor-by-floor input architecture that reads directly from the stacking plan. It seamlessly captures occupancy, RSF, and lease expiry dates, feeding them into a unified monthly cash flow with automatic phased lease-up scheduling.

2

Full Conversion Economics, Side by Side

Modeled the original mixed-use state against the proposed pure office conversion, giving the client a clear before-and-after view of NOI, TI burden, and lease-up timelines. The model supported a terminal NOI of ~$40.9M, driving a gross terminal value of ~$606.4M.

3

Investor-Ready Capital Stack & Returns

Structured four highly complex financing tranches with precise draw schedules, IO periods, and waterfall repayment logic. Delivered investor-ready LP/GP reporting metrics, showcasing a 35.2% levered IRR and $121.2M in net project profit.